Samsung Biologics (207940 KS)

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Solid despite forex headwinds

BUY (M)

Target price	W2,000,000 (Down)
Previous target price	W2,100,000
Current price (Oct 02)	W1,354,000
Upside potential	48%

Market cap (Wbn)	62,678
Shares outstanding	48,560,951
Avg daily T/O (2M, Wbn)	76
Avg daily volume (2M, shrs)	51,746
52-week high/low (won)	1,949,875 / 1,001,233
Foreign ownership (%)	13.16%
Dividend yield (%)	0.00%
Major shareholders	Samsung C&T & others

Stock performance

(%)	1M	3M	12M
Absolute	(9.1)	(3.0)	(8.1)
Relative	(14.8)	6.0	(53.4)
Abs (US$)	(7.9)	11.8	(4.8)

3Q26 preview: growth momentum intact despite stronger won

We estimate 3Q26 revenue at W1,347.7bn (+7.2% YoY) and OP at W595.7bn (-6.0% YoY, OPM 44.2%), broadly in line with consensus. Despite the average USD/KRW rate falling to W1,423 in 3Q, down approximately 5.2% QoQ, the company is expected to maintain its growth trajectory.

The impact of the labor strike in 2Q26 was addressed through production in 3Q26, with related sales expected to be recognized in 4Q. Accordingly, the impact on full-year earnings should be limited. The Rockville plant acquired from GSK is also operating steadily, while additional orders are being pursued for its remaining capacity. The plant is expected to reach full utilization after 2028-2029.

Plant 6 construction and PolyPeptide acquisition in 4Q26

According to the investment plan disclosed in the prospectus for the rights offering, investment in Plant 6 is scheduled to take place from 2026 to 2029, with operations targeted to begin in 2029. Plant 6 will be constructed with a capacity of 180,000-liters, identical to Plant 5, and an official announcement on construction is likely imminent, as investment will be executed within 2026. Since the company has proceeded with subsequent plant construction only after securing a certain number of orders for existing capacities, we expect non-binding orders to convert into binding contracts sequentially.

The acquisition of Swiss CDMO PolyPeptide is currently progressing via a tender offer, and will likely be concluded within this year. PolyPeptide's sales in 1H26 came to EUR237mn (+41.6%), sustaining high growth thanks to increased demand for peptide therapeutics including GLP-1 agonists.

Maintain BUY; revise down target price to W2,000,000

We maintain BUY, but revise down our target price from W2,100,000 to W2,000,000 given the EPS dilution stemming from the rights offering. Global CDMO demand for antibodies remains decent, while additional growth is expected from the firm's expansion into peptides via its PolyPeptide acquisition. Despite impacts from the shareholder-allocated rights offering and concerns over labor strikes, we expect the share price to rebound once a labor agreement is reached.

Quarterly earnings

(Wbn)	3Q26E	% YoY	% QoQ	Consens	vs consens (%)
Sales	1,348	7.2	2.0	1,338	0.7
OP	596	-5.9	-0.5	590	1.0
Pre-tax net profit	609	-8.1	-2.0	620	-1.7
Net profit, CI	458	-7.7	0.4	457	0.3
OPM (%)	44.2	-6.2 %pt	-1.1 %pt	44.1	+0.1 %pt
NPM (%)	34.0	-5.5 %pt	-0.6 %pt	34.2	-0.2 %pt

Note: CI = controlling interest

Forecasts and valuations (K-IFRS, consolidated) (Wbn)

FY ends Dec	2024A	2025A	2026E	2027E
Sales	3,497	4,557	5,475	5,989
OP	1,321	2,068	2,464	2,717
Net profit, CI	1,051	1,586	1,922	2,111
P/E (x)	87.7	67.6	33.0	32.6
P/B (x)	9.9	10.0	5.5	4.9
EV/EBITDA (x)	38.2	31.0	20.1	16.0
ROE (%)	12.0	19.0	19.8	16.2

Source: Yuanta Securities

For analyst certification and other important disclosures, refer to the Appendix at the end of this report.

Samsung Biologics: earnings forecast (Wbn)

	1Q25	2Q25	3Q25	4Q25	1Q26	2Q26	3Q26E	4Q26E	2025	2026E	2027E
Revenue	999.5	1014.2	1257.5	1285.7	1257.1	1320.9	1347.7	1549.4	4556.9	5475.0	5989.1
YoY	49.3%	25.2%	17.8%	35.3%	25.8%	30.2%	7.2%	20.5%	30.3%	20.1%	9.4%
Plant 1	95.0	92.7	100.8	112.6	115.7	118.6	104.1	110.0	401.0	448.4	444.0
Plant 2	244.7	239.9	259.2	259.2	274.1	265.6	275.6	319.1	1003.0	1134.5	1132.5
Plant 3	318.3	307.2	357.3	356.5	335.5	343.7	344.4	406.5	1339.3	1430.1	1433.8
Plant 4	296.2	327.0	474.4	490.5	467.2	478.7	449.1	540.1	1588.1	1935.1	1833.6
Plant 5	0	0	0	0	0	47.7	63.6	69.9	0	181.1	597.1
Rockville plant	0	0	0	0	0	0	33.0	41.3	0	74.3	218.7
Other	45.4	47.4	65.8	66.9	64.6	66.7	63.3	69.2	225.5	271.6	329.5
Gross profit	542.0	566.2	736.4	672.2	679.9	699.9	717.0	833.6	2516.8	2930.3	3242.1
SG&A expense	111.9	89.1	103.0	143.9	99.1	113.5	121.3	144.1	447.8	478.0	525.1
OP	430.1	477.0	633.4	528.3	580.8	586.4	595.7	689.5	2068.9	2452.3	2717.0
Growth (% YoY)	84.8%	44.9%	42.4%	67.9%	35.0%	22.9%	(5.9%)	30.5%	56.6%	18.5%	10.8%
OPM	43.0%	47.0%	50.4%	41.1%	46.2%	44.4%	44.2%	44.5%	45.4%	44.8%	45.4%

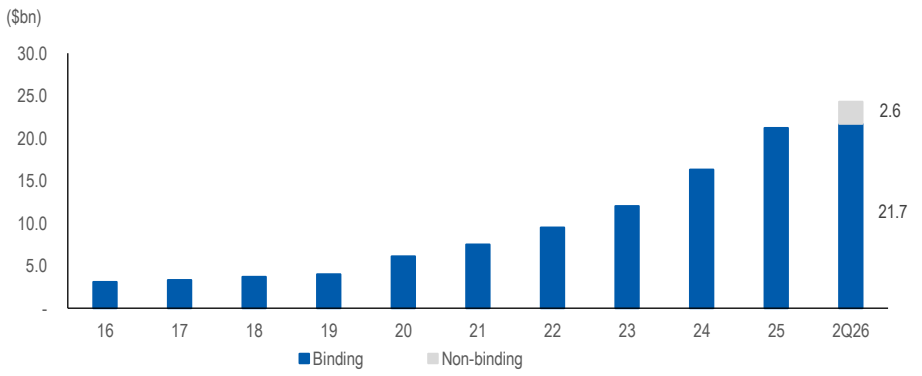
Source: Yuanta Securities

Samsung Biologics: earnings forecast revision (Wbn)

	Old			New			Difference		
	3Q26E	4Q26E	26E	3Q26E	4Q26E	26E	3Q26E	4Q26E	26E
Revenue	1280.2	1419.7	5274.4	1347.7	1549.4	5475.0	+5.3%	+9.1%	+3.8%
OP	564.6	636.0	2379.5	595.7	689.5	2452.3	+5.5%	+8.4%	+3.1%
OPM	44.1%	44.8%	45.1%	44.2%	44.5%	44.8%	+0.1%pt	-0.3%pt	-0.3%pt

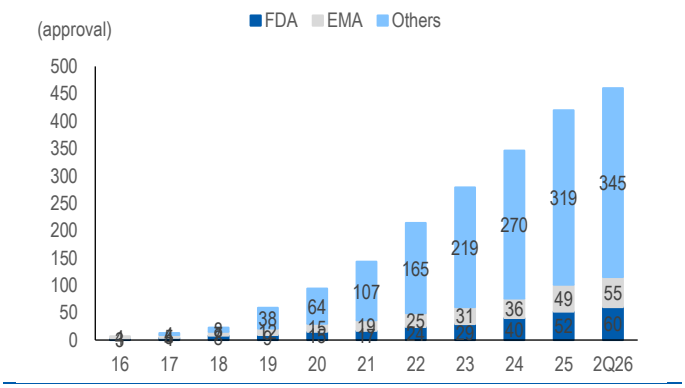
Source: Yuanta Securities

CMO new orders (cumulative)



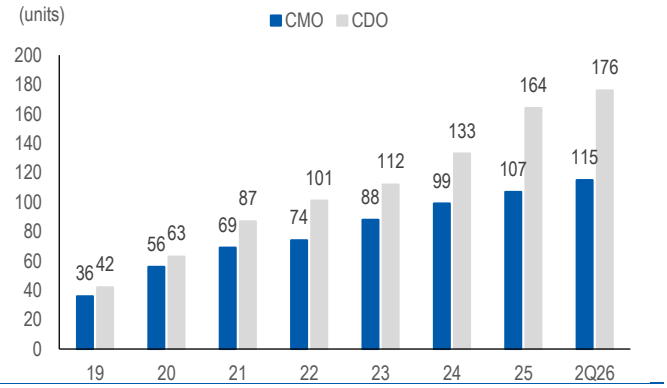
Source: company data, Yuanta Securities

CMO approvals by region (cumulative)



Source: company data, Yuanta Securities

Number of CDMO products



Source: company data, Yuanta Securities

Samsung Biologics: plant status

	Plant 1	Plant 2	Plant 3	Plant 4	Plant 5	Plant 6	Plant 7
Capacity	30kL (5kL x 6)	154kL (15kL x 10, 1kL x	180kL (15kL x 12)	240kL (15kL x 12, 10kL x	180kL (15kL x 12)	180kL	TBD
Location	Songdo Campus 1	Songdo Campus 1	Songdo Campus 1	Songdo Campus 1	Songdo Campus 2	Songdo Campus 2	Songdo Campus 2
Operation	Commercial batch production	Commercial batch production	Commercial batch production	Partial operation (Oct 2022); full operation (Jun 2023)	Began operations in Apr 2025	Operation targeted for 2029	Operation targeted for 2034

Source: company data, Yuanta Securities

Samsung Biologics (207940 KS) pro forma financial statements (K-IFRS, consolidated)

Statement of comprehensive income

FY ends Dec (Wbn)	2024A	2025A	2026E	2027E	2028E
Sales	**3,497**	**4,557**	**5,475**	**5,989**	**6,869**
Cost of sales	1,784	2,040	2,537	2,747	3,126
Gross profit	1,713	2,517	2,938	3,242	3,744
SG&A	392	449	473	525	548
Operating profit	**1,321**	**2,068**	**2,464**	**2,717**	**3,196**
EBITDA	1,620	2,437	2,999	3,631	3,979
Non-operating profit	81	11	119	109	179
Forex gains	42	-7	63	0	0
Net interest income	20	16	47	111	181
Equity-method gains	0	0	0	0	0
Other	19	2	9	-3	-3
Net prof before income tax	1,402	2,079	2,583	2,825	3,375
Income tax	351	493	661	714	851
Net profit from continuing ops	1,051	1,586	1,922	2,111	2,523
Net profit from discontinued ops	0	0	0	0	0
Net profit	1,051	1,586	1,922	2,111	2,523
NP for controlling interest	**1,051**	**1,586**	**1,922**	**2,111**	**2,523**
Total comprehensive income	1,042	1,583	1,919	2,108	2,520
Total comprehensive income, CI	1,042	1,583	1,919	2,108	2,520

Statement of financial position

FY ends Dec (Wbn)	2024A	2025A	2026E	2027E	2028E
Current assets	**3,992**	**4,393**	**6,850**	**9,195**	**12,200**
Cash & cash equivalents	300	141	1,820	3,961	6,516
Accounts receivables & other	786	677	702	731	793
Inventory	1,883	2,128	2,548	2,652	2,880
Non-current assets	9,325	6,630	9,309	9,204	9,009
Tangible assets	5,048	6,028	5,998	6,455	6,699
Investment in affiliates	3,328	46	573	573	573
Other investment assets	24	11	13	13	14
Total assets	**13,317**	**11,024**	**16,159**	**18,399**	**21,209**
Current liabilities	2,679	2,533	2,987	3,095	3,333
Accounts payable & other	1,135	497	599	624	677
ST financial liabilities	0	0	0	0	0
Liquid LT liabilities	0	320	320	320	320
Non-current liabilities	1,357	1,076	1,174	1,197	1,248
LT financial liabilities	0	0	0	0	0
Debentures	918	599	599	599	599
Total liabilities	**4,036**	**3,609**	**4,160**	**4,292**	**4,582**
Equity, controlling interest	9,281	7,415	11,999	14,107	16,627
Paid-in capital	178	116	121	121	121
Capital surplus	5,672	3,392	6,051	6,051	6,051
Retained earnings	3,450	5,036	6,958	9,070	11,593
Equity, non-controlling interest	0	0	0	0	0
Total equity	**9,281**	**7,415**	**11,999**	**14,107**	**16,627**
Net debt	**-157**	**-544**	**-2,494**	**-4,700**	**-7,397**
Total debt	1,067	926	928	928	929

Cash flow statement

FY ends Dec (Wbn)	2024A	2025A	2026E	2027E	2028E
Operating cash flow	**1,383**	**1,953**	**2,649**	**3,858**	**4,045**
Net profit	1,051	1,586	1,922	2,111	2,523
Depreciation & amortization	286	354	359	351	344
Forex gains	-47	5	-32	0	0
Affiliate investment gains	0	0	0	0	0
Increase in net working cap	-65	-108	155	679	514
Other	158	116	245	716	663
Investing cash flow	**-1,181**	**-1,770**	**-3,804**	**-878**	**-735**
Investment	-613	17	-2	-1	-1
Increase in tangible assets	-1,297	-1,376	-326	-808	-587
Decrease in tangible assets	0	0	0	0	0
Other	729	-412	-3,476	-69	-147
Financing cash flow	**-154**	**-337**	**2,665**	**0**	**1**
ST financial liabilities	-225	-130	1	0	1
Debenture/LT financial liabilities	61	-11	0	0	0
Equity	0	-2,343	2,665	0	0
Cash dividend	0	0	0	0	0
Other cash flow	10	2,146	-1	0	0
Consolidation adj and other	21	-4	169	-840	-755
Increase in cash & equivalents	**69**	**-158**	**1,679**	**2,140**	**2,555**
Beginning cash & equivalents	231	300	141	1,820	3,961
Ending cash & equivalents	300	141	1,820	3,961	6,516
NOPLAT	1,321	2,068	**2,464**	**2,717**	**3,196**
FCF	**86**	**577**	**2,323**	**3,050**	**3,457**

Valuation

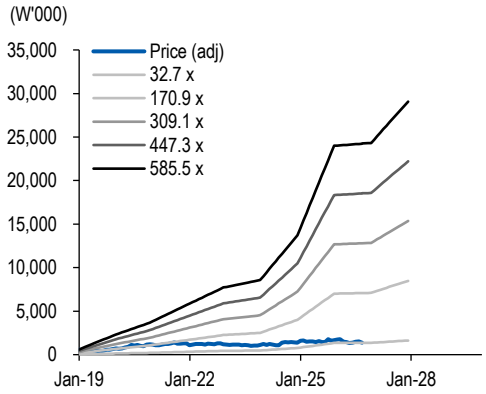
FY ends Dec	2024A	2025A	2026E	2027E	2028E
EPS (won)	14,643	23,424	40,981	41,535	49,643
BPS (won)	129,310	159,033	247,360	277,812	327,438
EBITDA/shr (won)	22,578	35,994	63,932	71,438	78,281
SPS (won)	48,725	67,295	116,719	117,825	135,142
DPS (won)	0	0	0	0	0
P/E (x)	**87.7**	**67.6**	**33.0**	**32.6**	**27.3**
P/B (x)	**9.9**	**10.0**	**5.5**	**4.9**	**4.1**
EV/EBITDA (x)	**38.2**	**31.0**	**20.1**	**16.0**	**13.9**
P/S (x)	**26.4**	**23.5**	**11.6**	**11.5**	**10.0**

Key financial data

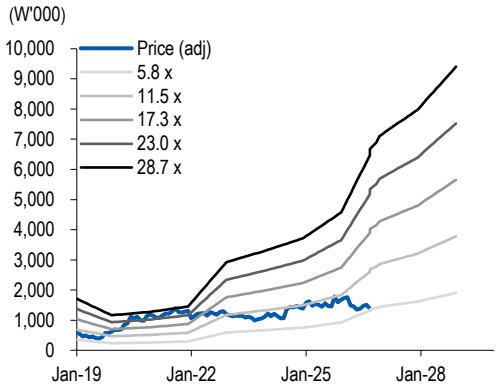
FY ends Dec	2024A	2025A	2026E	2027E	2028E
Sales (% YoY)	**19.0**	**30.3**	**20.1**	**9.4**	**14.7**
Operating profit (%YoY)	**9.7**	**56.5**	**19.2**	**10.3**	**17.6**
Net profit, CI (%YoY)	**11.1**	**50.9**	**21.2**	**9.8**	**19.5**
Gross margin (%)	49.0	55.2	53.7	54.1	54.5
Operating margin (%)	**37.8**	**45.4**	**45.0**	**45.4**	**46.5**
Net margin, CI (%)	30.1	34.8	35.1	35.3	36.7
EBITDA margin (%)	46.3	53.5	54.8	60.6	57.9
ROIC (%)	21.8	26.0	22.6	21.8	26.0
ROA (%)	8.4	13.0	14.1	12.2	12.7
ROE (%)	**12.0**	**19.0**	**19.8**	**16.2**	**16.4**
Debt-to-equity (%)	43.5	48.7	34.7	30.4	27.6
Net debt-to-equity (%)	-1.7	-7.3	-20.8	-33.3	-44.5
OP/financing cost (x)	38.8	71.0	104.7	124.1	145.9

Note: CI = controlling interest
Operating profit calculation same as K-GAAP (sales - COGS - SG&A exp)
EPS, BPS, P/E and P/B are based on controlling interest
For valuation metrics such as P/E, historical figures are based on annual average prices and estimates, on current price
For ROA or ROE, assets and equity are averages of end-of-year figures for the given year and the year prior
Source: Yuanta Securities

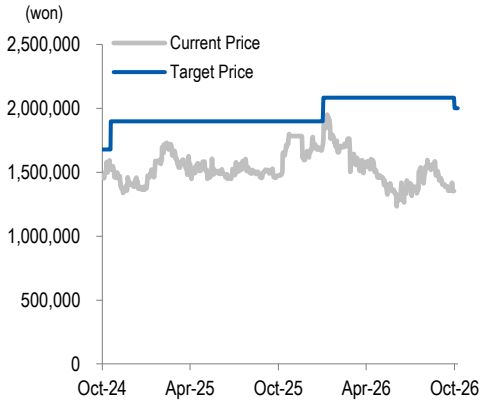
P/E band chart



P/B band chart



Samsung Biologics (207940 KS) ratings and target price history



Date	Rating	TP (won)	TP time frame	Difference (%)	
				vs avg price	vs high (low)
2026/10/06	BUY	2,000,000	1 yr		
2026/01/07	BUY	2,083,836	1 yr	-27.07	-6.43
2025/10/24	After 1yr		1 yr	-9.36	-5.23
2024/10/24	BUY	1,898,539	1 yr	-20.35	-8.85
2024/08/08	BUY	1,679,477	1 yr	-13.49	-5.13

Note: Difference = (actual price* - target price) / target price x 100
* 1) The average price until the day target price was suggested
2) The highest (lowest) price until the day target price was suggested
Source: Yuanta Securities

Rating	Share (%)
STRONG BUY	0
BUY	96.9
HOLD	3.1
SELL	0
Total	100.0

Note: As of Oct 06, 2026 Excluding reports written or published by overseas affiliates

Appendix: Important disclosures

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I/We, as the research analyst/analysts who prepared this research report, do hereby certify that the views expressed in this report accurately reflect my/our personal views about the subject securities discussed in this report.

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- **Stock ratings** include an Investment Rating (Strong Buy, Buy, Hold, Sell) based on the expected absolute return of a stock over the next 6 -12 months.
- **- Strong Buy:** Expected to return 30% or more
  - Buy: Expected to return between 15% and 30%
  - Hold: Expected to return between -15 and +15%
  - Sell: Expected to return -15% or less
- **Sector ratings** suggest 6 to 12 - month forward investment weighting of a given sector compared to its market capitalization weighting.
  - Overweight: Investment weighting is higher than the market capitalization weighting
  - Neutral: Investment weighting is equal to the market capitalization weighting
  - Underweight: Investment weighting is lower than the market capitalization weighting

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